

Title Report - Lender - commitment should work

LENDER TITLE SUMMARY REPORT

Property: 675 Bunker Hill Road, Columbia, MS 39429-7832
Commitment #: 01-26006219-01T | Commitment Date: 01/16/2026
Loan ID: MS-26-1226 | Loan Amount: \$80,808.00
Readiness Score: 67/100

EXECUTIVE SUMMARY

CLOSING STATUS: BLOCKED ?

This transaction cannot proceed to closing in its current state. A critical deed recording defect must be corrected immediately before title can be insured. The property was recorded to incorrect grantees (Christopher Lane Thornhill and Sara E. Jackson) instead of the intended buyer (Kyla B. Fortenberry). Additionally, significant title defects involving mineral interest exceptions and LLC ownership documentation require resolution.

CRITICAL ISSUES REQUIRING IMMEDIATE RESOLUTION

1. DEED RECORDING DEFECT [CRITICAL - BLOCKING]

Issue	Details
Problem	Recorded deed (Instrument #20260174, 01/13/2026) names wrong grantees
Current Grantees	Christopher Lane Thornhill and Sara E. Jackson
Required Grantee	Kyla B. Fortenberry
Impact	Prevents issuance of owner's policy; title does not vest in buyer
Action Required	IMMEDIATE: Record corrected warranty deed from GARNER TREE FARM, LLC to KYLA B. FORTENBERRY

2. VESTED OWNER vs. SELLER DISCREPANCY [MEDIUM - BLOCKING]

Element	Party
Vested Owner (per records)	GARNER TREE FARM, LLC
Listed Seller	TERRI G. CRAWLEY (individual)
Status	Unresolved conflict

Required Action: Clarify the relationship between TERRI G. CRAWLEY and GARNER TREE FARM, LLC. Ms. Crawley is identified as an LLC member. Provide written explanation of authority and authorization for this transaction.

3. DUPLICATE MINERAL EXCEPTIONS [HIGH - BLOCKING]

Exception	Coverage
Exception 1	"Any prior reservation or conveyance of minerals of every kind and character, including oil, gas, sand and gravel"
Exception 8	"Oil, gas, coal and other mineral interests together with rights appurtenant thereto"
Deed Language	"LESS AND EXCEPT all oil, gas, and other minerals in, on, and under all of the lands herein conveyed"

Required Action: Consolidate overlapping exceptions into single, clear exception. Confirm mineral severance is acceptable to lender.

OUTSTANDING REQUIREMENTS STATUS

Req #	Requirement	Status	Priority
1	Resolve vested owner/seller discrepancy	? OPEN	MEDIUM
2	Verify no open deed of trust	? SATISFIED	--
3	Bankruptcy search clearance	? SATISFIED	--
4	Record deed to KYLA B. FORTENBERRY	? FAILED	CRITICAL
5	Record deed of trust to lender	? PENDING	HIGH
6	LLC documentation & compliance	? OPEN	HIGH

Requirement 4 Failure Details

- Mandate: Record satisfactory executed deed from GARNER TREE FARM, LLC to KYLA B. FORTENBERRY
- Current Status: Deed recorded to wrong parties (Christopher Lane Thornhill and Sara E. Jackson)
- Consequence: Complete failure to satisfy requirement; title defect prevents policy issuance

Requirement 6 - Missing LLC Documentation

Submit immediately:

- (a) Operating agreement and amendments (or certification of none)
- (b) Certificate of good standing from Mississippi Secretary of State
- (c) Resolution signed by all four members authorizing transaction:
 - Ricky Lane McPhail
 - Terri Garner Crawley
 - Patsy Garner Brewton
 - Karen Garner Delancey
- (d) Any additional documentation required upon review

PROPERTY & PARTIES INFORMATION

Property Details

- Address: 675 Bunker Hill Road, Columbia, MS 39429-7832
- County: Marion County, Mississippi
- Parcel #: 074-04-000-04-005
- Acreage: 88.00 acres
- Legal Description: Multiple parcels including NE1/4 of SE1/4, SE1/4 of NE1/4, and 13.98 acres in NE1/4 of NE1/4 of Section 4, TSN, R18W
- Assessed Value: \$9,030.00 (Land only; no improvements)

Key Parties

Party	Role	Status
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Kyla B. Fortenberry	Proposed Owner/Insured	Intended buyer; not yet vested
GARNER TREE FARM, LLC	Current Vested Owner	Must convey title
Terri G. Crawley	Listed Seller	Individual; LLC member; authority unclear
Society Mortgage	Proposed Lender/Insured	Loan amount: \$80,808.00
Old Republic National Title	Underwriter	Commitment issued 01/16/2026

EXCEPTIONS ANALYSIS

Standard Exceptions (Acceptable)

- Exception 2: Defects appearing after commitment date
- Exception 3: Survey exceptions
- Exception 4: Rights of parties in possession
- Exception 5: Mechanics' and contractors' liens
- Exception 6: Changes in title after commitment date
- Exception 7: Current and future taxes and special assessments

Utility Easements (Standard - Acceptable)

- Exception 9: VYVX, Inc. easement (03/31/1997)
- Exception 10: Bunker Hill Water Association easement (08/19/2009)
- Exception 11: Bunker Hill Water Association easement (04/06/2023)

Tax Status (Current)

- Exception 12: 2025 county taxes - 1st installment PAID (\$1,132.52)

- Delinquent amount: \$0.00
- Status: ? Current

Problematic Exceptions (Require Clarification)

- Exceptions 1 & 8: Overlapping mineral reservations (see Critical Issues above)

CLOSING READINESS ASSESSMENT

Current Readiness Score: 67/100

Breakdown:

- ? Property identification and legal description: Complete
- ? Bankruptcy searches: Clear
- ? Lien searches: Clear
- ? Tax status: Current
- ? Deed recording: FAILED (wrong grantees)
- ? LLC documentation: INCOMPLETE
- ? Mineral exceptions: UNRESOLVED
- ? Owner/seller discrepancy: UNRESOLVED

Estimated Readiness Upon Compliance

Projected Score: 95/100 (pending deed correction, LLC docs, and mineral clarification)

RECOMMENDATIONS FOR LENDER

IMMEDIATE ACTIONS REQUIRED (Before Closing)

1. CORRECT THE DEED IMMEDIATELY

- Obtain executed corrected warranty deed from GARNER TREE FARM, LLC to KYLA B. FORTENBERRY
- Record in Marion County records
- Provide recorded copy to title company
- Timeline: Within 48 hours

2. OBTAIN LLC COMPLIANCE DOCUMENTATION

- Request all four members' signatures on authorization resolution
- Obtain current good standing certificate from Mississippi Secretary of State
- Provide operating agreement or certification of none
- Timeline: Within 24-48 hours

3. CLARIFY OWNER/SELLER RELATIONSHIP

- Obtain written explanation from seller regarding authority to convey
- Confirm TERRI G. CRAWLEY's authority as LLC member to bind GARNER TREE FARM, LLC
- Timeline: Within 24 hours

4. RESOLVE MINERAL EXCEPTIONS

- Confirm with buyer and lender that mineral severance is acceptable
- Request title company consolidate Exceptions 1 and 8 into single exception
- Timeline: Within 24 hours

SECONDARY ACTIONS

5. Record Deed of Trust (Requirement 5)

- Prepare deed of trust from KYLA B. FORTENBERRY to Society Mortgage
- Record upon completion of corrected warranty deed
- Provide recorded copy to title company

6. Final Title Review

- Request updated commitment reflecting all corrections
- Verify all requirements satisfied before final closing

RISK SUMMARY FOR LENDER

Risk	Severity	Status	Mitigation
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Wrong grantee in deed	CRITICAL	Open	Correct deed immediately
LLC authority unclear	HIGH	Open	Obtain member resolutions
Mineral interest ambiguity	HIGH	Open	Consolidate exceptions
Owner/seller mismatch	MEDIUM	Open	Clarify relationship
Deed of trust not recorded	MEDIUM	Pending	Record after deed correction

CONCLUSION

This transaction is currently BLOCKED from closing. The critical deed recording defect must be corrected immediately--the property was conveyed to the wrong parties and does not vest in the intended buyer. Additionally, missing LLC documentation and unresolved mineral interest exceptions prevent title clearance.

Estimated time to closing readiness: 2-3 business days upon receipt of corrected deed, LLC documentation, and mineral exception clarification.

Lender should not authorize final loan disbursement until:

1. ? Corrected deed is recorded to KYLA B. FORTENBERRY
2. ? All LLC compliance documentation is received and reviewed
3. ? Mineral exceptions are consolidated and acceptable
4. ? Updated commitment confirms all requirements satisfied
5. ? Deed of trust is recorded in lender's favor

Report Prepared By: Title Analysis System

Underwriter: Old Republic National Title Insurance Company

Date: [Current Date]

Commitment #: 01-26006219-01T